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Hong Kong's ILS market held back by low P&C penetration

GBA opportunities slowly open up in Macau

Inflationary risks grow for Asia's insurers

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CONCERN OVER ASIA'S SECONDARY PERILS PRICING

Inadequate models are putting pressure on underwriting results

CONCERNS OVER ASIA'S SECONDARY PERILS PRICING
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Singapore P&C recovery continues

By Nick Ferguson

Singapore's general insurance market continued to rebound during the third quarter of 2021 after an extremely difficult period dealing with the pandemic.

Local gross written premiums grew at 7.5% in the quarter to S$1,094 million (US$813 million) after increasing by 5.3% during the first half of the year, according to official figures released by the Monetary Authority of Singapore on January 13.

The market was boosted by the government's successful roll out its vaccination programme and relaxation of its travel restrictions. Singapore also saw GDP growth of 7.2% across 2021 compared with a contraction of 5.4% in 2020.

More than 87% of the population have now had two jabs, making Singapore one of the most vaccinated countries in the world.

Gross premium growth for the full year is expected to be around 6%. This follows growth of just 0.5% in 2020, including a 5% contraction in the last quarter of that year.

The industry has sought to help policyholders, including small and medium-sized enterprises, by allowing flexible payment plans during the pandemic.

However, the financial relief measures expired on December 31 as the sector transitions to treating Covid-19 as an endemic. Insurers will continue to show some flexibility, but most renewals this year will be on conventional terms.

The measures have not hurt profits. Underwriting income was at its highest level for years in 2020 and rose even further during 2021 — it was up by 57% at the end of the third quarter and almost at the level of the full-year profit for 2020.

A drop in claims during 2021, even compared to 2020, was largely responsible for this improvement in underwriting results.

Allowing policyholders some flexibility may not have hurt insurers, but the investment environment certainly has — at least in the short term. Operating profits were down by more than 30% in the third quarter and by roughly 26% in the second quarter amid weaker investment returns.

Lines

All classes of business grew during 2021, led by property at 11%, motor at 8.4% and cargo at 7.6%. However, direct insurers in Singapore sought to retain less exposure on some lines. Net premiums for personal accident insurance have been falling throughout the pandemic and were down by almost a third by the end of September 2021. Credit and credit-related insurance premiums were down by 13% and aviation hull was down by 7.1%.

On the offshore side, reinsurers' net premiums fell by 7.9% during the third quarter, with double-digit decreases in property and motor, as well as smaller drops in cargo and aviation hull. Across the whole of the first three quarters of 2021, net reinsurance premiums in the offshore sector were down by 0.4%.

A drop in claims during 2021, even compared to 2020, was largely responsible for this improvement in underwriting results.

However, offshore business on the direct side was up by 2.7% in net premium terms as retentions increased slightly compared to 2020 (fuelled by a 10% increase in gross premiums).

Liability books increased by 16.7% on offshore business during the first three quarters, while aviation hull was up by more than 50%. Meanwhile, motor and marine hull lines have been shrinking.

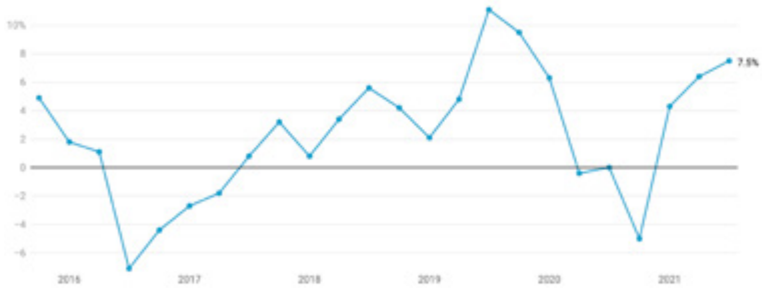
Outlook

Assuming the positive momentum in 2021 was at least partly driven by catch-up growth, activity in 2022 is likely to return towards a more normal growth rate of around 3%.

As claims also normalise, insurers will be hoping for better investment returns to ensure they can maintain profits, while the uncertainty driven by the pandemic should normalise further.

Premium growth rebounds

Singapore insurance fund business, gross premium growth over corresponding quarter



Offshore business

Gross premiums of offshore insurance fund business

SOURCE: MAS

ANALYTICS

IAN Analytics: Claims dent profits at HK insurers

By Nick Ferguson

Premiums at Hong Kong's general insurers increased during 2021, but underwriting results fell for many companies amid a sharp rise in claims.

General insurance premiums from direct business in the Special Administrative Region (SAR) were up by 3.9%, but underwriting profits fell by 19.1% as the market's claims ratio increased to 61% from 58.9%.

Companies

Axa retained its crown as the city's biggest general insurer, with premiums up 9.8% to HK$7.4 billion (US$945 million) across all of its local entities, while its underwriting result improved from a loss in 2020 to a profit of HK$243 million last year.

Health insurer Bupa, the city's second-biggest non-life player, expanded its book by 8.2% to HK$4.1 billion but booked an underwriting loss of HK$43 million.

Zurich was the only other top-10 insurer to book an underwriting loss after premiums fell by 1.6%, but the HK$132 million deficit was nevertheless a better result than 2020, when it booked an underwriting loss of HK$702 million.

The government-owned Hong Kong Mortgage Corp's insurance arm leapt into third place due to support measures designed to help businesses and individuals cope with the economic effects of the pandemic. Gross premiums increased to more than HK$3 billion from roughly HK$550 million in 2020.

Sectors

Most of the deterioration in Hong Kong was driven by accident and health. Gross premiums fell 2.3% to HK$15.8 million while the claims ratio increased to 76.5% from 64.7%. That led to an underwriting loss of HK$58 million for the sector.

The motor, aviation and marine sectors all suffered underwriting losses as well, though gross premiums rose across all three.

Motor premiums increased by 2.7%, though the highly competitive sector saw an underwriting loss of HK$165 million. In the marine business, premiums rose 11% and the claims ratio fell to 68% from 80.5% in 2020, but the sector was still loss-making, with an underwriting deficit of HK$112 million.

After a challenging 2021, this year is off to an even worse start as Covid-19 infections have surged, strict quarantine measures remain in place and the city wrestles with how to chart a path back to normality.

Aviation had been one of the sectors to bounce back strongly during last year, with gross premiums up by more than 30%, albeit from a low base, but claims were also high and the sector booked an underwriting loss of HK$6.8 million as a result.

Any expectations that travel restrictions would be eased in the first half of 2022 have evaporated amid the Omicron wave of Covid and the outlook for the entire industry is poor.

However, some companies managed to perform well in 2021 nonetheless and may similarly weather the storm this year.

Most of the deterioration in Hong Kong was driven by accident and health.

Hong Kong's biggest general insurers

January-December 2021 (HK$bn)

	Insurer	Premium trend 19-21	Gross premiums	Change	UW profit	Claims ratio
1	Axa XL		7,433	10.0%	243	59.34
2	Bupa		4,109	4.9%	-43	83.97
3	Hong Kong Mortgage Corp		3,036	509.0%	-203	3.45
4	China Taiping		2,640	-29.7%	126	57.18
5	Zurich Insurance		2,428	33.4%	-132	62.83
6	AIG Insurance HK		1,945	1.6%	80	61.86
7	AIA		1,909	-0.7%	21	84.46
8	Asia Insurance		1,883	15.7%	176	50.27
9	Generali		1,735	-24.0%	59	67.01
10	QBE		1,714	-15.2%	75	39.71

SOURCE: HKIA

Climate crisis dominates Asia's risk outlook

Nat cats caused US$50bn of losses in APAC in 2021, as WEF says top five risks are linked to climate change.
by Nick Ferguson

Natural catastrophes caused much bigger losses worldwide in 2021 than in the previous two years, though Asia represented a relatively small share of the total.

Storms, floods, wildfires and earthquakes destroyed assets worth US$280 billion globally, according to provisional figures from Munich Re, compared to US$210 billion in 2020 and US$166 billion in 2019.

Just US$50 billion of those losses occurred in Asia Pacific, representing 18% of the global total. This compares to a 32% share in 2020 and 46% in 2019.

Insurers were on the hook for 43% of the losses worldwide, which is slightly higher than in previous years due to the concentration of losses in the US, while insurers in Asia incurred losses on just 17% of damage in the region, or around US$9 billion.

Even that figure is somewhat high due to the greater level of insurance in Japan, where the biggest loss in 2021 was caused by a 7.1-magnitude earthquake that struck off the east coast on February 13. It caused US$7.7 billion in damage, with around 30% of that covered by insurance.

In China, severe flooding in Henan Province in July caused US$16.5 billion of economic losses. Just 10% of the damage was insured.

The lower level of losses in Asia does not reflect the risk to communities. Three of the deadliest events in 2021 occurred in Asia Pacific — Typhoon Rai killed over 400 people in the Philippines and Vietnam in December, the flooding in Henan killed 302 people and Tropical Cyclone Seroja killed 272 in Indonesia, East Timor and Australia in April.

Only one event — an earthquake in Haiti — was more deadly.

Risk

The figures from Munich Re reflect heightened global concerns about climate risks.

"The images of natural disasters in 2021 are disturbing," said Munich Re board member Torsten Jeworrek. "Societies need to urgently adapt to increasing weather risks and make climate protection a priority."

Respondents to a recent World Economic Forum survey ranked extreme weather as the top short-term risk, while climate action failure was perceived as the biggest risk for both the medium and long term. Indeed, the top five long-term risks are all related to the climate crisis.

"Failure to act on climate change could shrink global GDP by one-sixth and the commitments taken at COP26 are still not enough to achieve the 1.5°C goal," warned Peter Giger, group chief risk officer at Zurich Insurance Group, in the group.

The effect of extreme weather helped to push property catastrophe insurance rates up by an average of 9% at the January 1, 2022 renewals, according to Howden, which was the biggest year-on-year increase since 2009.

Fears that climate change will lead to more frequent major events saw aggregate capacity shrink, with per event capacity more commonly available.

Economic recovery after two years of Covid-19 and the prospect of rising inflation would normally be positive signals for insurers' profits, but the climate risks and growing cyber threat are both weighing on the outlook.

At the same time, the pandemic is still far from over in many parts of Asia as vaccine inequality leads to divergent economic outcomes.

The upshot is a risk outlook for 2022 that is dominated by what Howden calls the three Cs: climate, cyber and Covid.

All three are particularly challenging risks for insurers in Asia.

Tokio Marine and the NZIA

On January 19 Tokio Marine became the first Japanese insurer to join the Net-Zero Insurance Alliance (NZIA).

Less than a week later, though, activists started accusing the insurer of not living up to its environmental commitments.

Torsten Jeworrek
Munich Re

"Societies need to urgently adapt to increasing weather risks and make climate protection a priority."

Peter Giger
Zurich Insurance Group

Based on previously undisclosed documents, Insure Our Future says that Chubb, Mapfre and Tokio Marine "provide key insurance contracts covering the majority of Brazil's offshore oil and gas drilling", which includes exploration in sensitive ecosystems along Brazil's coastline.

"Tokio Marine's CEO Satoru Komiya mentions that climate change is a top-priority issue that we must address head on," said Yuki Tanabe, programme director at the Japan Centre for a Sustainable Environment and Society. "However, Tokio Marine's support for offshore oil exploration in Brazil contradicts the company's net-zero commitment as a new member of the Net-Zero Insurance Alliance."

According to the report by Insure Our Future, which is an initiative organised by the Sunrise Project in Australia, Tokio Marine underwrites 40% of Petrobras's general civil liability, alongside Chubb.

Insurers make a commitment under the NZIA to focus on "transitioning" to a net-zero underwriting portfolio by 2050, though it is up to each signatory to decide how they will achieve this.

"This commitment leaves flexibility but cannot be stretched at will," said Peter Bosshard, finance programme director at the Sunrise Project. "There is no question that the oil and gas expansion plans of the Brazilian government are inconsistent with the latest available scientific knowledge on a 1.5°C pathway."

Satoru Komiya
Tokio Marine

Korean insurers will no longer insure the construction and operation of new coal-fired power plants

President Moon Jae-in

Peter Bosshard, Sunrise Project

"This commitment leaves flexibility but cannot be stretched at will."

The NZIA's target-setting protocol has yet to be published and the first target will only be reached in 2028. But the recommendations of the UN Environment Programme Finance Initiative, where the NZIA is convened, are clear. It says that alignment with the 1.5°C pathway should start as soon as possible.

Achieving net-zero emissions is a lofty goal. Last year, the International Energy Agency stated that reaching net zero means "no fossil fuel exploration is required and no new oil and natural gas fields are required beyond those that have already been approved for development".

Meanwhile, Brazil's national energy plan envisages that it will become one of the five biggest oil-and-gas producers in the world, increasing oil production by 60% and gas by 110% in the next eight years.

Tokio Marine didn't respond to an invitation for a comment.

Korean commitments

Tokio Marine is not the only insurer failing to take necessary action on climate change.

According to a recent survey, 97% of financial institutions in Korea – including the country's large insurance firms – lack sufficient policies to phase out coal, in line with the OECD's call to end all coal use by 2030.

The survey was carried out by Solutions for Our Climate (SOFC), a local campaign group.

"Samsung Fire and Marine is still behind its global peers in spite of being a major player in the financial market," said Sooyoun Han, a researcher at SFOC.

"The company has the potential to raise industry standards around green finance by being transparent with its existing climate initiatives, expanding its coal policy to cover the entire coal supply chain and having a concrete plan to phase out its existing exposure," Han added.

Samsung's general insurance unit was the biggest insurer of the domestic coal industry in 2020, according to Greenpeace, in a country that has the second-highest per capita coal power emissions in the world (behind Australia).

Korean lenders have also been extremely active in the financing of overseas projects. During the past decade, they provided around US$137 billion in international public finance for fossil fuels, according to SFOC, and ranked above China and the US between 2018 and 2020.

Samsung F&M has not published its coal divestment policies, but told SFOC that it has made an internal decision to divest from companies that earn more than 30% of their revenue from coal power production and mining. It also said that it has stopped insuring coal-fired power plant construction and operation.

This apparently applies to existing coal projects undertaken by other companies in the Samsung group, including the construction of Vung Ang 2 in Vietnam, which is scheduled for completion in 2025, and Gangneung Anin in South Korea, due for completion next year.

Other Korean insurers have made similar commitments. KB, Hanwha, Hana, DB, Heungkuk FM, Hyundai FM, Lotte and Nonghyup P&C have all said they will no longer insure the construction and operation of new coal-fired power plants.

That leaves Meritz F&M as the only general insurer in the country with no coal policies, though commitments at the national level will phase out domestic financing of new coal projects anyway.

President Moon Jae-in pledged in April 2021 to end new overseas coal financing and its COP26 commitments will see coal-fired power generation cut to 21.8% of its electricity mix by 2030, down from 41.9% currently.

However, Korea refused to put a date on when it would phase out coal power completely.

For Korean insurers, there is little incentive to move faster on environmental issues than their client base. Most have a limited international presence and serve a domestic economy dominated by carbon-intensive sectors such as steel production, shipbuilding, car manufacturing and semiconductor fabrication (most of which is destined for consumption in the US and Europe).

While it may be too much to expect Korean insurers to be global leaders in the transition to more sustainable underwriting practices, there is still room to improve transparency and do more to highlight how climate risks will affect Korean businesses and communities. ■

Demand for Asia M&A cover builds momentum

The W&I insurance market has bright prospects after a whirlwind end to the last quarter of 2021.
By Nick Ferguson

There is optimism among market players that M&A insurance premiums are set to grow further in the region this year as transactions continue to surge after a busy end to 2021.

"The M&A insurance market globally, including Asia, has never seen a busier Q4 in the history of M&A insurance. The use of warranty and indemnity (W&I) insurance on M&A transactions in 2021 came with such an intensity that most insurers had met full year targets by early Q3," Sandra Lee, Asia chief executive at BMS Group, told InsuranceAsia News (IAN).

Insurers in the market agreed with Lee's sentiment, with one of the principal reasons being heightened awareness among clients. W&I cover is often bought be sellers to protect against uncertainties during transactions to help with producing more cost efficient and cleaner exits.

"2021 saw a dramatic increase in the uptake of W&I insurance reflecting both increased M&A deal flow and the increased familiarity throughout Asia with the product's role in supporting deal certainty," Steven Harwood, BHSI's Asia Middle East regional head of transactional liability, told IAN.

According to recent data from Dealogic, M&A dealmaking in Asia Pacific in 2021 rose 37% to US$1.27 trillion and this activity happened across a host of different sectors.

"Last year we saw around a 70% increase in the number of M&A insurance submissions in APAC compared to 2020, with sectors such as manufacturing, retail, real estate and software/ software and services being the most predominant sectors," said Lorraine Lloyd-Thomas, M&A underwriter at Beazley.

The Lloyd's player confirmed this strong level of activity in a webinar last August.

More enquiries

With enquiries expected to continue to climb this year, the market is also going beyond the traditional M&A ecosystem or those who would usually buy M&A insurance. Some are also realising the cover can help address matters such as contingent tax risks or other contingent legal matters.

Katherine Simmonds, managing partner at Fusion, who is responsible for M&A insurance across Asia Pacific, noted that the MGA is "now . . . receiving more enquiries from start-ups, accountants, law firms, private equity and venture capitalists — many of which are now starting to realise the value of end-to-end underwriting and financial risk management solutions."

Further demand in the region could also be generated by the Hong Kong Stock Exchange, which has created a new listing regime for SPACs (special purpose acquisition companies). This kicked off at the beginning of the year, although it is still very early days.

Either way the signs are positive, despite the ongoing pandemic, a slowdown in Chinese cross-border deals and rising inflation.

"Early indications are that demand is not lessening as we enter 2022, with continued high levels of broker submissions for transactions in varied sectors and of differing sizes, including a number of very large transactions where entire market participation is sought by buyers, and involving target companies throughout Asia," added BHSI's Hong Kong-based Harwood.

Lorraine Lloyd-Thomas
Beazley

Katherine Simmonds
Fusion

Either way the signs are positive, despite the ongoing pandemic, a slowdown in Chinese cross-border deals and rising inflation.

Private equity outlook

The interest in M&A insurance in Asia is being further fuelled by the rise of private equity deals in the region, with sophisticated investors being more willing to use risk transfer solutions than corporates.

Even in China, where zero-Covid and dual-circulation policies have hindered cross-border M&A, private equity deals reached a record US$108 billion last year, according to data provider Refinitiv. That represents growth of 26%, far outpacing the overall M&A market.

One trend that has been fuelled by private equity players is the use of so-called sell-buy flips, where sellers require the buyer to take out a buy-side W&I policy to ensure a no-recourse exit.

Blossom Lim, director of transaction liability for Asia at Aon, says sell-buy flips have increased by 30% to 40% during the past five years as auction processes have increased.

Opportunities in growth sectors such as pharmaceuticals, renewable energy, technology and biotech are driving M&A activity in the region and will continue to fuel interest in insurance solutions.

Distressed transactions are also emerging in sectors hurt by the pandemic, such as tourism, retail and hospitality.

Dealmakers are also increasingly looking to transfer tax and litigation risks through insurance solutions.

The pandemic initially caused insurers to take a cautious approach to M&A deals through the imposition of blanket Covid-19 exclusions, but most are now taking a more commercial approach.

Businesses that can show reduced exposure to affected supply chains and cash flows can typically negotiate narrower exclusions to address any specific concerns.

However, more points of negotiation can inevitably slow down the process. Post-pandemic deals are also seeing longer timelines as parties have sought more time to fulfil condition precedents.

China shows no signs of ending its tough Covid policy, but deal flow in the region is expected to continue growing in 2022.

Central banks around the world are looking to hike interest rates and pay for Covid-related stimulus, but private equity firms still have plenty of dry powder to pursue opportunities. ■

World's first online M&A insurance marketplace for SMEs

An Australian start-up, io.insure, has launched the world's first online M&A insurance marketplace for small and medium-sized enterprises (SMEs).

The platform is being launched by Pop Holdings and promises to close the risk protection gap for M&A deals valued at less than US$100 million, as well as significantly shortening the time it takes to put protection in place.

Killian McDermontt
Pop

"There's a dearth of capacity available from insurers and also scarcity of underwriting capacity in the sense of actual underwriters who can do the transactions," said Killian McDermott, co-founder and executive partner of Pop.

"The reason for that is the market is so busy," he adds. "The focus is on transactions where the premiums are larger and fees and commissions are higher."

Given these constraints, io.insure is targeting a market niche that is ripe for automation.

Smaller M&A deals often still need insurance to secure funding, but not necessarily a highly tailored solution that requires in-depth underwriting and negotiation.

Multiple rounds of back and forth between advisers, lawyers, brokers and insurers quickly racks up fees and can delay an otherwise straightforward transaction. Instead, it makes sense to offer SMEs a simpler product with a narrower scope of coverage, but still backed by leading insurers.

At least, that is the rationale behind insure.io. By simplifying and streamlining the process, it can be reduced to a standardised template that does away with most of the time-consuming work and negotiations.

While a traditional M&A insurance product can take up to three or four weeks to finalise the policy and the warranty, and perhaps a week at the quickest, io.insure claims to be able to cut this to just 24 hours.

There are also opportunities to offer similar standardised products in other specialty markets, such as financial lines, and insure.io has plans to expand its offering in the future.

Capacity

McDermott and his co-founder David Rogers also run Fusion Specialty, an established managing general agent with a presence in Australia, Hong Kong, Singapore and the US.

Initial capacity for the platform will come through Fusion, which has relationships with Allianz, Markel, Zurich and HDI Global Specialty, as well as with Ping An for M&A transactions in China and Hong Kong.

However, insurers can also join the platform directly and this is what McDermott expects to happen in the US, where they plan to launch the product next.

After that, the company has eyes on the UK and Europe, and eventually Hong Kong and Singapore.

As with any automated platform, more data will create more opportunities to further refine the offering. And there is plenty of scope to acquire that data.

There are more than 2.3 million SMEs in Australia alone. Combined with a growing trend of private equity and venture capital funds pursuing smaller and more frequent M&A, the potential growth is clear.

However, automating any specialty product brings challenges and the biggest obstacle will be to prove that it can be done in a way that is both profitable for insurers and attractive to clients.

The Hartford targets ‘strategic growth’ in Asia

By Nick Ferguson

The Hartford’s international business is poised for growth in Asia as it strives to position its Lloyd’s unit in the top quartile of syndicates.

Having bought the business in 2019 when its portfolio was already under review, Navigators has emerged from the process with new resources and a new focus as The Hartford’s main underwriting platform for international business.

Asia is currently just a small part of that — roughly US$20 million in gross premiums out of a total US$500 million underwritten internationally — but the regional business grew 40% in 2021.

Carl Bach (pictured), who heads The Hartford’s international business and ran Navigators before the acquisition, tells InsuranceAsia News that he sees good opportunities in Asia since rebuilding the foundations of the business and views the market environment as favourable.

However, he stresses that “strategic growth” is now the key — and not just growth for its own sake.

“It’s less about doubling the size of the book, which is what we see from some of the newer startups, and more about driving value to our shareholders,” he says

Having first opened in Asia through the Lloyd’s Shanghai platform in 2008, Navigators later put two underwriters in Hong Kong and is now looking to build its market share in the region.

Bach says the syndicate underwrites roughly a quarter of the financial lines business placed through Lloyd’s in Hong Kong, including directors’ and officers’ (D&O) liability, professional indemnity and financial institutions products. It also underwrites casualty business in the region and is investing in political risks.

While Navigators has a long history of writing marine business, it is not a focus in the short term given continued under-pricing in that segment.

In addition to open market business, it also partners with local carriers to fill their underwriting capability gaps in specific areas such as life sciences and D&O, or taking on their clients’ US exposures.

Profitability

Like many Lloyd’s syndicates, Navigators suffered big losses from the 2016 North Atlantic storm season, when Hurricanes Harvey, Irma and Maria caused significant damage in Florida and the Caribbean. It has not earned an underwriting profit since then.

“You don’t need to be a forensic accountant to figure out that our returns are not where we want them to be,” says Bach. “We really want to be looking to generate consistent 15-point plus ROEs [returns on equity] so every decision, every investment we make is tied to whether or not we’re going to accelerate that journey.”

With The Hartford’s backing it has been able to invest in technology and underwriting platforms to enhance risk selection, automate pricing and free up its underwriters to focus on technical, complex risks where they can add value.

It is still a long way from its top-quartile ambition. A combined ratio above 120% put it firmly in the bottom half of syndicates in 2019 and 2020, and probably again in 2021 when syndicate results are published.

Much of that is down to legacy exposures, as well as Covid. But returns in 2022 and beyond will be a reflection of whether the portfolio restructuring and investments are paying off.

Carl Bach

With The Hartford’s backing it has been able to invest in technology and underwriting platforms to enhance risk selection, automate pricing and free up its underwriters to focus on technical, complex risks where they can add value.